

Chapter Review

Questions for Review

1. A consumer has income of **\$3,000**. Wine costs **\$3** per glass, and cheese costs **\$6** per pound. Draw the consumer's budget constraint with wine on the vertical axis. What is the slope of this budget constraint?
2. Draw a consumer's indifference curves for wine and cheese. Describe and explain four properties of these indifference curves.
3. Pick a point on an indifference curve for wine and cheese, and show the marginal rate of substitution. What does the marginal rate of substitution tell us?
4. Show a consumer's budget constraint and indifference curves for wine and cheese. Show the optimal consumption choice. If the price of wine is **\$3** per glass and the price of cheese is **\$6** per pound, what is the marginal rate of substitution at this optimum?
5. A person who consumes wine and cheese gets a raise, so her income increases from **\$3,000** to **\$4,000**. Show what happens if both wine and cheese are normal goods. Next, show what happens if cheese is an inferior good.
6. The price of cheese rises from **\$6** to **\$10** per pound, while the price of wine remains **\$3** per glass. For a consumer with a constant income of **\$3,000**, show what happens to consumption of wine and cheese. Decompose the change into income and substitution effects.
7. Can an increase in the price of cheese possibly induce a consumer to buy more cheese? Explain.

